



Scholar Practioner Aspect Candidate

July 11, 2026

- ① **Core Question:** Does Illegal Always Mean Unethical?
- ② **CFA Framework:** The "More Strict" Standard
- ③ **Young's Argument:** Valid Points or Justification?
- ④ **Challenging Scenarios** (10 Hard Questions)
- ⑤ **Key Takeaways** for DBA Scholars

The Question

Does illegal always mean unethical? More importantly, does legal always mean ethical?

Common Assumption

- Illegal = Unethical
- Legal = Ethical
- Compliance = Sufficient

CFA Position

- Not necessarily
- Legal is baseline, not ceiling
- "More strict" standard applies

Source: CFA Institute Standards of Practice Handbook (2014, p. 14)

The Standard

"Members and Candidates must understand and comply with all applicable laws, rules, and regulations... In the event of conflict, Members and Candidates must comply with the more strict law, rule, or regulation."

- **Key Principle:** Legal compliance is the **minimum**
- **Global Application:** Different jurisdictions, different rules
- **The "More Strict" Test:** Compare law vs. Code & Standards

When in conflict, follow the HIGHER standard

Applicable Law	Duty
No securities laws	Adhere to Code & Standards
Less strict than CFA	Adhere to Code & Standards
More strict than CFA	Adhere to local law

Implication: Legal requirements vary; ethical obligations are universal.

Source: CFA Institute (2014, pp. 16-18)

Core Thesis

"Putting the law in its place" - Challenging the assumption that illegal implies unethical.

Key Points:

- ① Laws can be **unjust** or **outdated**
- ② Regulatory bodies can be flawed ("patronage haven")
- ③ Civil disobedience is ethically defensible
- ④ Legal is not Moral; Illegal is not Immoral

Critical Question: Is Young exposing flawed ethical reasoning or justifying misconduct?

The Scenario (CFA Handbook, p. 33)

Steven Taylor, a mining analyst, is invited by Precision Metals to tour mining facilities. The company arranges chartered flights and modest accommodations. Taylor allows Precision Metals to pay all expenses.

Questions:

- 1 Is accepting paid travel a violation of Standard I(B)?
- 2 If the travel is legal, is it ethical?
- 3 What if the accommodations were luxury instead of modest?
- 4 Does Young's framework justify Taylor's acceptance?

CFA Answer: Not necessarily a violation IF trip was strictly business and accommodations were modest. However, the **appearance** of impropriety must be considered.

The Scenario (CFA Handbook, pp. 35-36)

Theresa Green manages Ian Knowlden's portfolio, achieving superior returns. Knowlden offers Green two Wimbledon tickets and use of his London flat for a week. Green discloses this to her supervisor.

Questions:

- 1 Is accepting this gift a violation?
- 2 Does disclosure make it ethical?
- 3 What if Green did NOT disclose the gift?
- 4 How should the supervisor monitor for favoritism?

CFA Answer: Compliance IF disclosed. BUT supervisor must monitor for pattern of favoritism. **Transparency is key.**

The Scenario (CFA Handbook, pp. 36-37)

Tom Wayne, pension fund manager, recommends Penguin Advisors after attending an "investment fact-finding trip to Asia" partially sponsored by Penguin. Penguin's president was also on the trip.

Questions:

- 1 Was Wayne's recommendation tainted?
- 2 What if the trip was educational and the decision was independent?
- 3 Does the **public perception** matter?
- 4 What precautions should Wayne have taken?

CFA Answer: Even if no actual violation, the **perception** of impropriety is problematic. Best practice: employer should pay; contact should be limited; trip should be public record.

The Scenario (CFA Handbook, p. 37)

Javier Herrero is hired by an investor-relations firm to write a research report. The firm will pay a flat fee PLUS a bonus if new investors buy stock as a result of his report.

Questions:

- 1 Is the bonus structure ethical?
- 2 Does legality matter if the compensation creates a conflict?
- 3 What compensation structure WOULD be ethical?
- 4 Does Young's framework justify this arrangement?

CFA Answer: Violates Standard I(B). Bonus creates incentive to draft positive reports regardless of facts. Only flat fee NOT tied to conclusions is acceptable.

The Scenario (CFA Handbook, p. 39)

Adrian Mandel, CFA, makes political contributions to Ernesto Gomez, chair of a pension fund investment board. Mandel also entertains Gomez lavishly at top restaurants. All expenses are reimbursed as "marketing expenses."

Questions:

- 1 Are political contributions unethical if legal?
- 2 Does disclosure to senior management make it acceptable?
- 3 How does this compromise Gomez's objectivity?
- 4 What does Young's framework suggest about this case?

CFA Answer: Violates Standard I(B). Even if structured to be technically legal, the conduct is unethical because it compromises objectivity and undermines fair selection processes.

The Scenario (CFA Handbook, p. 68)

Samuel Peter attends a conference call with investment bankers and a company CEO. Salespeople and portfolio managers walk in and out, overhearing that earnings projections have dropped. Before the call ends, they trade on this information.

Questions:

- 1 Did Peter violate Standard II(A)?
- 2 What if the information was accidentally overheard?
- 3 Does "I didn't know" excuse the conduct?
- 4 What firewalls should have been in place?

CFA Answer: Peter violated Standard II(A) by failing to prevent transfer of nonpublic information. The salespeople and portfolio managers also violated by trading on inside information.

The Scenario (CFA Handbook, pp. 79-80)

Bill Mandeville uses mostly positive scenarios as model inputs to achieve the best possible rating for structured products. The outputs support the idea that products have minimal downside risk. Compensation is tied to ratings and sales.

Questions:

- 1 Is manipulating model inputs a violation?
- 2 What if the outputs were technically accurate?
- 3 Does the intent matter if the market eventually crashes?
- 4 How does Young's framework apply to "legal" manipulation?

CFA Answer: Violates Standard II(B). Manipulating inputs to minimize risk misleads market participants and damages trust in capital markets.

The Scenario (CFA Handbook, p. 108)

Caleb Smith recommends investing 20% of two clients' portfolios in high-tech, high-risk equities. Larry Robertson (60, high net worth) and Gabriel Lanai (40, saving for children's education) have very different risk tolerances.

Questions:

- 1 Is the same recommendation suitable for both clients?
- 2 What if both clients **asked** for this investment?
- 3 What is Smith's duty to educate clients?
- 4 Does legality matter if the investment is unsuitable?

CFA Answer: Violates Standard III(C) for Lanai. Suitable for Robertson (aggressive profile) but not for Lanai (needs steady returns). Suitability depends on client circumstances.

The Scenario (CFA Handbook, pp. 114-115)

Kyle Taylor states in marketing materials: "You can expect steady 25% annual compound growth of the value of your investments." The fund achieved 25% for ONE year but averages 5% over five years.

Questions:

- 1 Is the statement a violation?
- 2 What if Taylor said "past performance" instead of "can expect"?
- 3 Does the statement constitute a guarantee?
- 4 What disclosures are required?

CFA Answer: Violates Standard III(D). 25% growth occurred only in one year, and the statement guarantees future performance - a violation of Standard I(C) as well.

The Scenario (CFA Handbook, p. 121)

Sarah Connor receives internal reports about City Medical Center's renovation plans. A local businessman asks for this information to decide where to make a substantial contribution. Connor refuses to divulge the information.

Questions:

- 1 Did Connor act correctly?
- 2 What if the information would benefit the hospital?
- 3 What if the businessman is a major potential donor?
- 4 When is disclosure of confidential information permitted?

CFA Answer: Connor correctly refused. Standard III(E) requires confidentiality unless (1) information concerns illegal activities, (2) disclosure required by law, or (3) client permits disclosure.

The Scenario (CFA Handbook, pp. 203-204)

White accepts a new account referred by Brady Securities. Brady receives research reports and directs stock commission business from referral accounts to Brady. White does not disclose this arrangement to the new client.

Questions:

- 1 Is White required to disclose the referral arrangement?
- 2 What if the referral was from a trusted friend?
- 3 Does the client's satisfaction with the service matter?
- 4 What if the fee is paid in services rather than cash?

CFA Answer: Violates Standard VI(C). Disclosure required BEFORE entering into any formal agreement for services. Consideration includes cash, soft dollars, or in-kind.

The Scenario (CFA Handbook, pp. 160-161)

Helen Hawke's firm anticipates a tax loophole closing. To capitalize, she estimates IPO prices based on relative company size rather than thorough research, believing she can "justify pricing later."

Questions:

- 1 Is estimating price by size a violation?
- 2 What if time pressure makes full research impossible?
- 3 Should Hawke have refused the business?
- 4 Does Young's framework justify taking on "too much" work?

CFA Answer: Violates Standard V(A). Sarkozi should have taken on only work it could adequately handle. Bypassing research violates due diligence requirements.

The Scenario (CFA Handbook, p. 173)

Sarah Williamson plans to publish an investment newsletter with only weekly "buy" and "sell" recommendations, omitting details of the valuation models and portfolio structuring scheme.

Questions:

- 1 Is omitting model details a violation?
- 2 What if the model is proprietary?
- 3 Can Williamson provide the information upon request?
- 4 What is the minimum required disclosure?

CFA Answer: Violates Standard V(B). Need not describe every detail, but must inform clients of the basic process and logic. Clients must understand limitations and inherent risks.

The Scenario (CFA Handbook, p. 130)

Samuel Magee, frustrated with working environment, is offered a position with a competitor. Before resigning, he asks four big accounts to leave Trust Assets and open accounts with Fiduciary Management.

Questions:

- 1 Did Magee violate Standard IV(A)?
- 2 What if he only contacted clients who were "his" accounts?
- 3 What if he used public information to find them?
- 4 When is soliciting former clients permissible?

CFA Answer: Violates Standard IV(A). Solicitation of current clients and prospective clients before leaving violates duty of loyalty. Must wait until employment ends.

The Scenario (CFA Handbook, pp. 148-149)

Jane Mattock, head of research, orally advises executives of a proposed recommendation change before the report is published. An executive immediately sells stock from personal and discretionary accounts. Others inform institutional clients before dissemination.

Questions:

- 1 Did Mattock violate Standard IV(C)?
- 2 What if she told executives to keep the information confidential?
- 3 What compliance procedures should have been in place?
- 4 Does delegating responsibility excuse the supervisor?

CFA Answer: Violates Standard IV(C). Failed to prevent dissemination of or trading on unpublished recommendation changes. Must ensure adequate compliance procedures exist.

The Scenario (CFA Handbook, p. 140)

Geoff Whitman manages Carol Cochran's account. Cochran proposes: "Any year the portfolio achieves at least 15% return, you and your wife can fly to Monaco at my expense and use my condominium." Whitman accepts without informing his employer.

Questions:

- 1 Is Whitman required to inform his employer?
- 2 What if the compensation is "non-monetary"?
- 3 Does the conditional nature matter?
- 4 What if Whitman's employer permits such arrangements?

CFA Answer: Violates Standard IV(B). Must obtain written consent from all parties. Non-monetary compensation creates conflict and requires disclosure.

The Scenario (CFA Handbook, p. 102)

Mary Burdette tweets a "buy" recommendation for Sun Drive Auto stock to FIM Twitter followers before distributing her complete research report to all clients.

Questions:

- 1 Does this violate fair dealing?
- 2 What if the tweet was a "summary" rather than a recommendation?
- 3 What if all clients follow FIM on Twitter?
- 4 How should firms manage social media communications?

CFA Answer: Violates Standard III(B) and IV(C). Investment recommendations must be distributed fairly. Social media does not remove the duty to treat all clients fairly.

The Scenario (CFA Handbook, p. 183)

Martin Blank develops an analytical model while employed at GPIM. He takes copies of all supporting records to a new employer without GPIM's permission.

Questions:

- 1 Does Blank violate Standard V(C)?
- 2 What if Blank developed the model on his own time?
- 3 What if he only takes the "ideas" but not the actual records?
- 4 How should Blank use the model in the future?

CFA Answer: Violates Standard V(C). Records created as part of professional activity are the property of the firm. Blank must re-create records at the new firm from public sources.

The Scenario (CFA Handbook, p. 204)

James Handley receives compensation for each referral he makes to Central Trust's brokerage and personal financial management departments. He does not disclose this to his clients.

Questions:

- 1 Does Handley violate Standard VI(C)?
- 2 What if the referral arrangement is **internal** to the firm?
- 3 What if the client would have been referred anyway?
- 4 Must disclosure be in writing?

CFA Answer: Violates Standard VI(C). Standard does not distinguish between internal and external payments. Must disclose nature and value of benefit in writing at time of referral.

The Scenario (CFA Handbook, pp. 134-135)

Meredith Rasmussen discovers the hedge fund's reported performance does not reflect a market decline. Her supervisor and compliance officer tell her to "stay away from the issue."

Questions:

- 1 Does whistleblowing violate loyalty to employer?
- 2 What steps should Rasmussen take?
- 3 When is whistleblowing **required**?
- 4 Does Young's framework apply to whistleblowing?

CFA Answer: Does NOT violate Standard IV(A). Whistleblowing is justified when intent is to protect clients or market integrity, not for personal gain. Must follow firm's reporting procedures first.

- ① **Regulatory Lag:** Laws inevitably lag behind innovation. Financial products evolve faster than regulations.
- ② **Law as Baseline:** Standard I(A) requires following the "more strict" standard - legal is the floor, not the ceiling.
- ③ **Principled Dissociation:** Sometimes ethical obligations require leaving employment.
- ④ **Civil Disobedience:** History shows laws can be unjust (e.g., apartheid, Jim Crow).

Young is valid as an ANALYTICAL correction to oversimplified reasoning

- ① **Risk of Rationalization:** Principled resistance can become self-serving justification.
- ② **The Misconduct Standard:** Standard I(D) applies regardless of legality. Dishonesty and fraud are always unethical.
- ③ **Public vs. Private Defiance:** Principled defiance is **public** and accepts consequences. Quiet noncompliance is not the same.
- ④ **Democratic Legitimacy:** Hughes argues it's "presumptively immoral" for firms to unilaterally decide which laws to respect.

Young's framework must be applied with CARE, not convenience

- ➊ **Identify Stakeholders** - Who is affected?
- ➋ **Evaluate Legal Requirements** - What does the law require?
- ➌ **Apply the Code & Standards** - What do ethical standards require?
- ➍ **Consider the "More Strict" Standard** - Which obligation is higher?
- ➎ **Assess Impact on Market Integrity** - How does the action affect trust?
- ➏ **Document the Analysis** - Could you defend this publicly?

The Three Tests

- ➊ **Transparency Test:** Would you defend this action publicly?
- ➋ **Social Contract Test:** Does this serve the ultimate benefit of society?
- ➌ **Stakeholder Test:** Have you considered impact on all stakeholders?

Key Takeaway

"Although the investment world has become a far more complex place since the first publication of the Standards of Practice Handbook, distinguishing right from wrong remains the paramount principle of the Code and Standards." - CFA Institute (2014, p. 5)

For DBA Scholars:

- Ethical leadership requires **more than legal compliance**
- Global business ethics faces challenges laws alone cannot address
- Culture of integrity must permeate all levels of operations
- Legal standards tell you the **floor**, not where to stand

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Questions?

"Distinguishing right from wrong remains the paramount principle"

CFA Institute *Standards of Practice Handbook* (2014, p. 5)